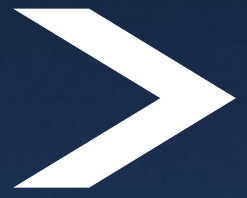


Harvey 2026–2029: Building Durable Advantage in Legal AI

If legal AI intelligence is becoming widely accessible, where does Harvey build durable advantage?

Team Trailblazers

Harvey



3 Pillar Strategy

Deploy ~\$300M to build switching costs and regulatory trust

01



Workflow Optimization

- Deepest Integrations
- Repeatable Workflows



3 Pillar Strategy

01



Workflow Optimization

- Deepest Integrations
- Repeatable Workflows

02



Data Advantage

- Citation Reliability
- Partner Acquisition



3 Pillar Strategy

01



Workflow Optimization

- Deepest Integrations
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02



Data Advantage

- Citation Reliability
- Partner Acquisition

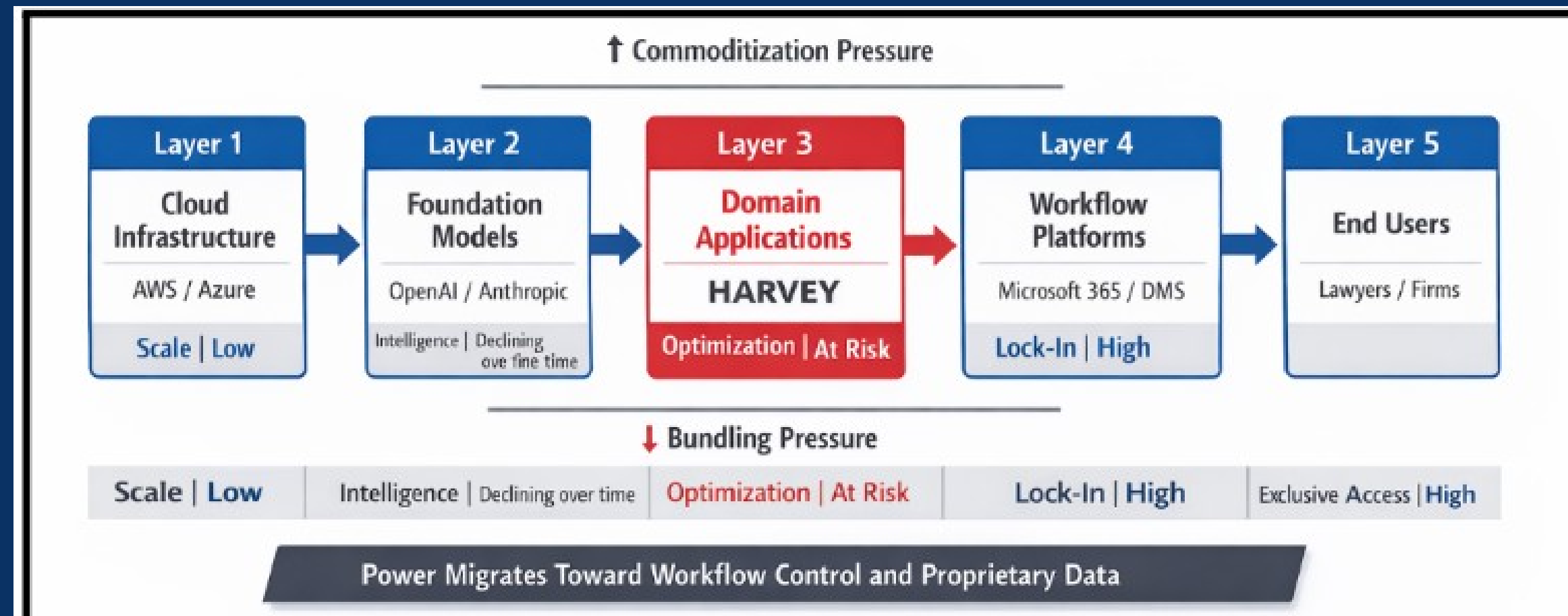
03



Trust Stack

- Governance Audibility
- Staged Agentic Rollout

Industry Architecture: Why Layer 3 Gets Squeezed



Industry Threat Landscape (Porter-Based Analysis)

Supplier Power ↑

- Model dependency
- API cost volatility

Platform Bundling ↑

- Microsoft Copilot integration
- Bundled enterprise pricing

New Entrants ↑

- Low barriers to entry
- New legal AI startups

Standalone legal AI applications face structural pressure unless they control workflow integration, proprietary data, or governance infrastructure.

Harvey Today: Strategic Strengths & Structural Vulnerabilities

Harvey Product Stack



Harvey Today: Strategic Strengths & Structural Vulnerabilities

Strengths:

- Enterprise trust
- BigLaw credibility
- Growing utilization
- Lawyers directly aided in the creation of the software

Harvey Product Stack



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Harvey Product Stack



Vulnerabilities:

- Model dependency
- Limited proprietary data
- Bundling risk

Harvey has strong legal credibility and early adoption but remains exposed to model dependency and platform bundling.

Core Shift: From Acquisition-Led Growth to Retention-Led Compounding

Retention becomes the economic engine under bundling pressure.



Switching costs compound when Integration + Governance + Usage reinforce each other.

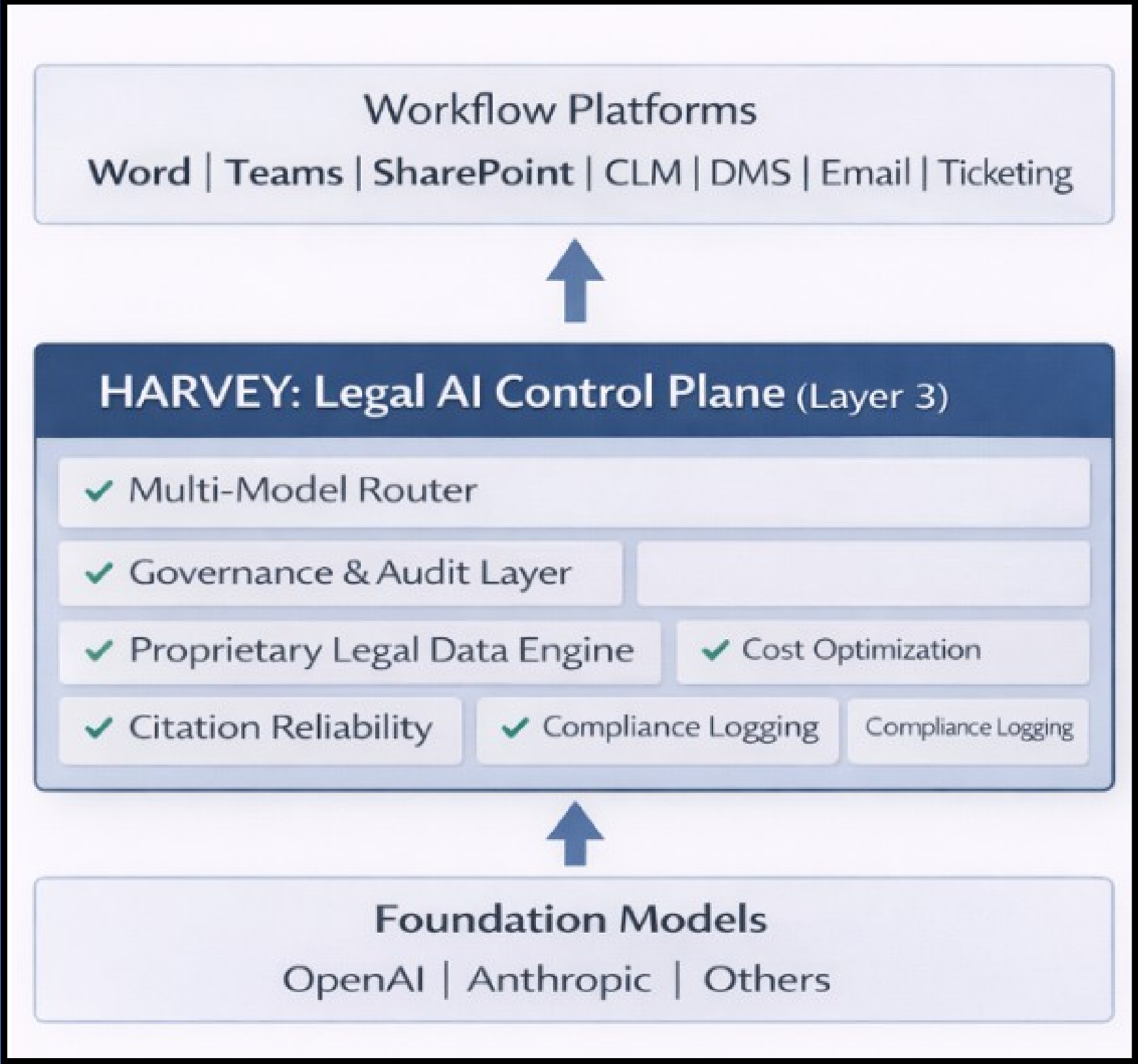
Enterprise value is not just time savings — it also comes from risk reduction, workflow efficiency, and more defensible legal operations.

Option	Advantage	Weakness
A) Legal AI App	Domain focus	Bundling risk
B) Model Router	Reduces supplier risk	Weak lock-in
C) Workflow OS	Strong switching costs	Capital intensive
D) Governance Layer	Regulatory moat	Needs workflow embed
E) Developer Platform	Ecosystem scale	Strategic dilution

Architectural Paths

Harvey becomes a Legal Workflow Operating System with governance infrastructure.

Chosen Positioning
Control over intelligence deployment becomes the new strategic advantage



Advantage is deployment, not model ownership

Defensibility Matrix

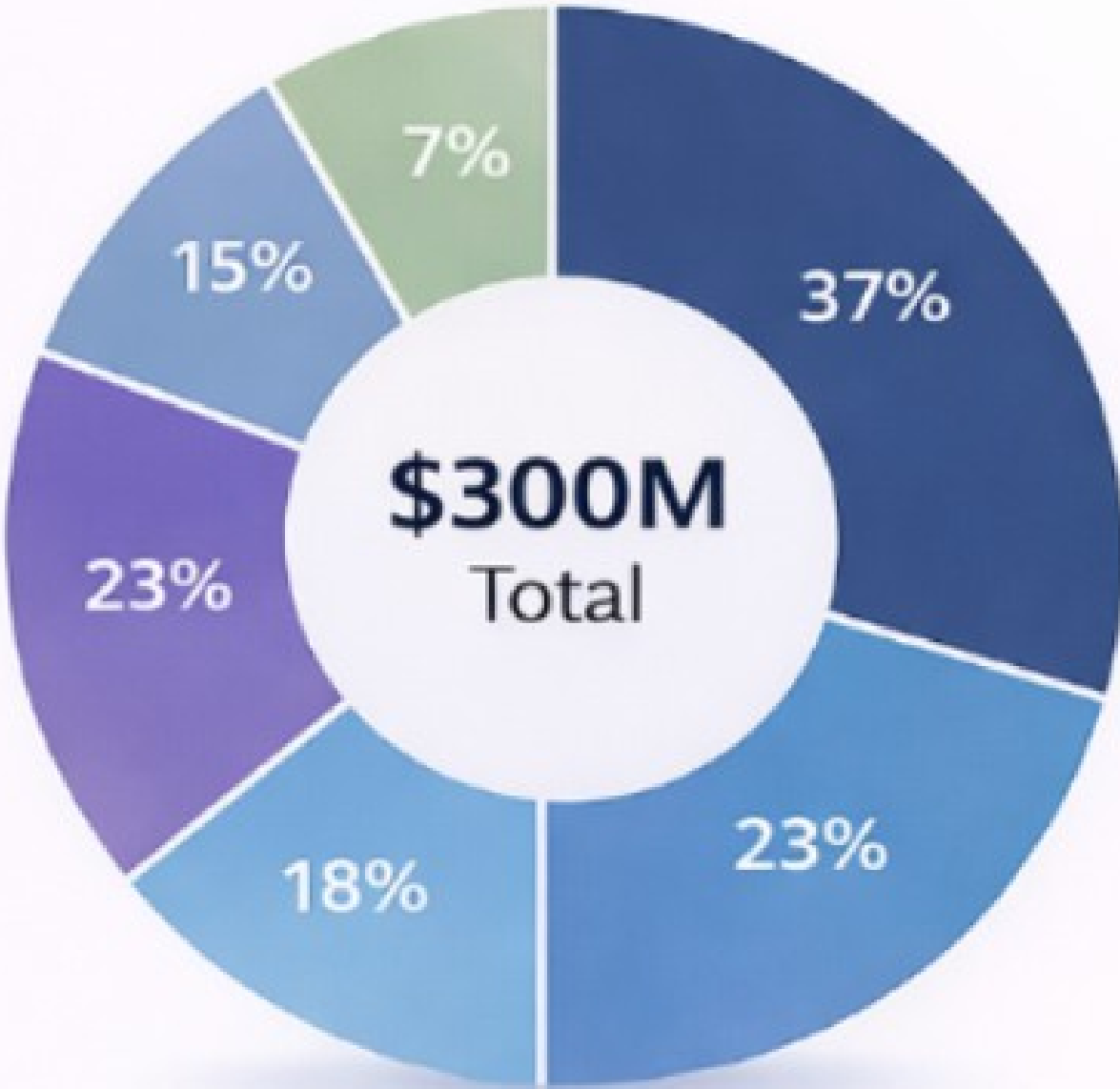
Where durable advantage exists in legal AI



Durable advantage = Trust + Embedded workflow

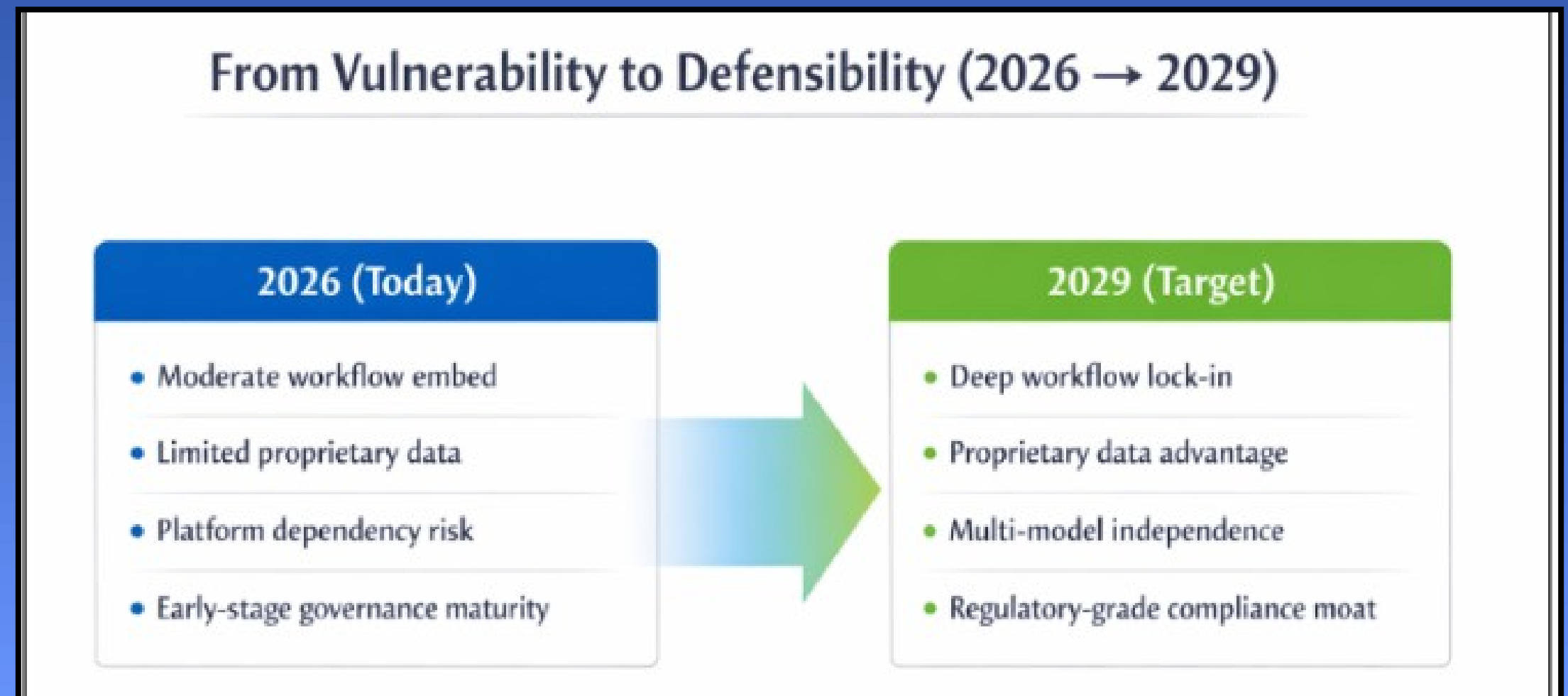
Capital Allocation Plan — \$300M to Build Durable Advantage

Initiative	Investment	Strategic Goal
Proprietary Legal Data	\$110M (37%)	Data moat + citation reliability
Workflow Integrations	\$70M (23%)	Workflow lock-in + platform independence
Governance Infrastructure	\$55M (18%)	Regulatory trust + liability control
Agentic R&D (staged)	\$45M (15%)	Assistive legal agents for workflow automation
Retention & Customer Success	\$20M (7%)	Net revenue retention through AI workflow enablement and enterprise adoption programs



Capital concentrates where defensibility is created: data, workflow lock-in, and governance trust.

From Vulnerability to Defensible Advantage (2026–2029)



Competitive scenarios and strategic responses

Scenario	Risk	Harvey Response
 Microsoft Bundling AI 	• Price pressure	✓ Workflow integration ✓ Governance tools ✓ Legal workflow packs
 Model Provider Power	• Supplier risk	✓ Multi-model routing ✓ Model benchmarking
 Legal Data Incumbents (LexisNexis / Westlaw)	• Data moat risk	✓ Legal data partnerships ✓ Citation reliability ✓ Jurisdiction packs
Strategic Principle: Harvey wins through workflow depth, governance infrastructure, and proprietary legal data.		

Harvey competes on workflow integration, governance infrastructure, and legal data — not commodity AI intelligence.

How the Strategy Improves Unit Economics

Multi-Model Routing



Multi-Model Routing

- ↓ Model/API costs
- Simple tasks → cheaper models
- Complex tasks → advanced models

Lower average compute costs

Governance Infrastructure



Governance Infrastructure

- ↓ Risk & compliance costs
- Audit logs
- Citation thresholds
- Human-in-the-loop review

Lower liability & regulatory risk

Workflow Lock-In



Workflow Lock-In

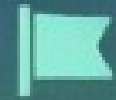
- ↑ Switching costs
- ↑ Deep integrations
- ↑ Workflow standardization
- ↑ Enterprise trust

Higher retention
& durable margins

Economic Outcome:

Higher gross margins, stronger net revenue retention, and more durable SaaS economics.

Financial Scenarios: Strategy Holds Under Multiple Outcomes



Base Case – Execution Scenario

- ARR growth continues
- Multi-model routing improves margins
- Governance strengthens enterprise trust

Outcome: Margin expansion with workflow lock-in ↗



Competitive Pressure Scenario

- Microsoft bundling compresses pricing
- Slower new customer growth
- Higher CAC

Outcome: Retention + switching costs protect revenue 💰



Regulatory Shock Scenario

- Compliance costs temporarily increase
- Slower rollout of autonomous agents

Outcome: Governance investment strengthens long-term trust

Strategic Insight: Governance, workflow lock-in, and proprietary legal data stabilize Harvey's long-term SaaS economics.

Note - While the case does not provide sufficient data to calculate IRR

Financial Outlook: Harvey AI Revenue Scenarios (2026-2029)

Base Case Competitive Pressure Regulatory Shock

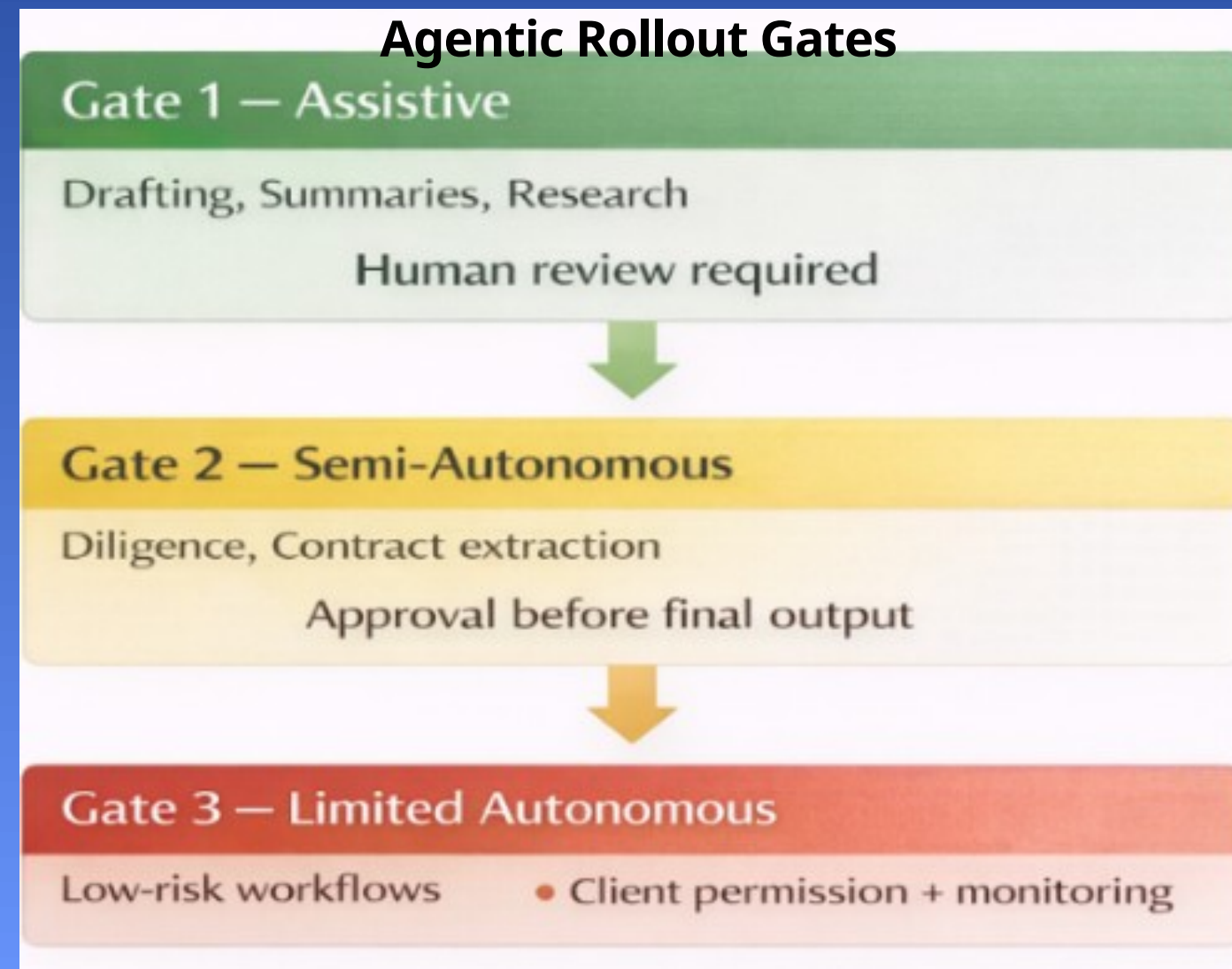
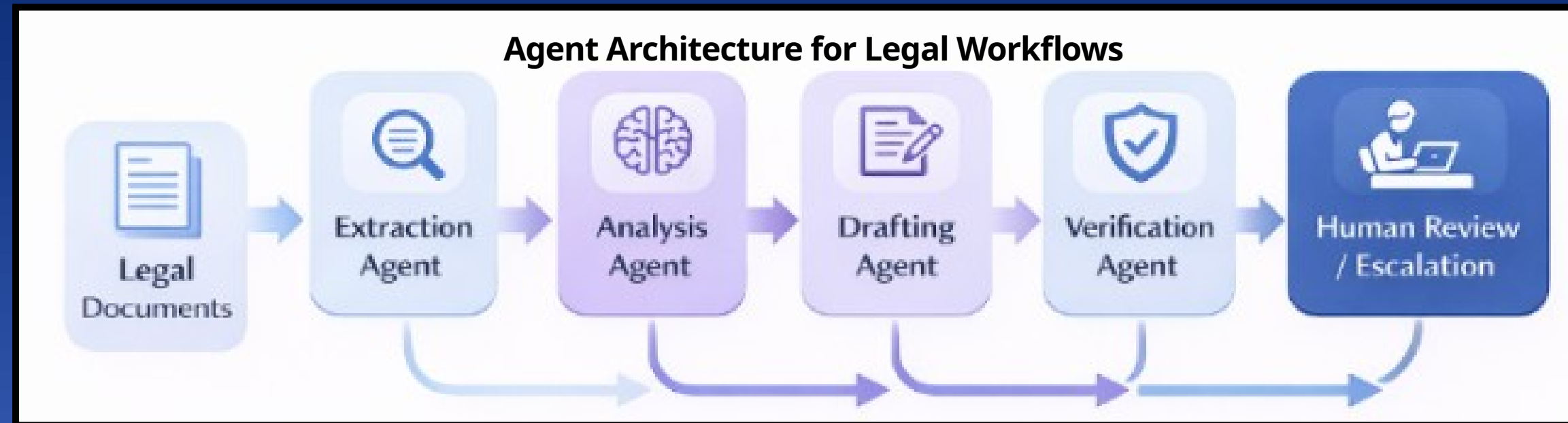


Metrics + Trigger Points

Metric	Trigger
NRR	<110%
Usage	Adoption stalls
API cost	>20% revenue
Citation rate	<95%
Coverage incidents	Rising

Agent Architecture for Legal Workflows

To support this roadmap, Harvey's platform evolves from single-task assistants into coordinated multi-agent workflows



Agentic AI Risk and Governance Framework

EU AI Act. :

- review for high-risk outputs
- n + confidence thresholds
- audit logs and version control
- Role permissions and ethical walls
- Controlled agent capabilities
- Incident response & rollback protocols
- Prompt engineering structured controls

System	Prompt	Score
ChatGPT	Role-based litigation prompt	8.5
Harvey prompt	Chronology → conflict analysis	7.2

Observation:
Prompt structure → Output quality

Prompt structure improves legal AI accuracy.
Source: Harvey AI – BigLaw Bench

Enterprise-grade compliance enables government and regulated sector adoption

Aug 2026 → Transparency obligations
Aug 2026 → High-risk system rules begin
Aug 2027 → Expanded high-risk enforcement
Source – EU AI Act implementation schedule (European Commission)

AI Governance in Practice (2026)
Anthropic declined Pentagon request to remove Claude safety guardrails.
Insight: AI safety vs. operational pressure is a real policy challenge.
Source: NBC News

Governance investment is not defensive — it is strategic positioning

Harvey 2029: From AI Tool to Legal AI Control Plane

1) Trade-offs We Chose

- No price war
- No premature autonomy
- No single-model dependency

2) Where Advantage Comes From

- Workflow integration
- Proprietary legal data
- Governance infrastructure
- Multi-model routing
- Switching costs

3) Harvey's Position by 2029

- Legal AI orchestration layer
- Trusted compliance platform
- Multi-model control plane
- Enterprise legal workflow system

**Control over workflows, governance, and legal data
is the durable advantage in legal AI.**